IGST is levied for inter-state supplies.

Further, every company must obtain a separate GST number for each state in which it operates. Each registration in turn requires the company to file two forms (GSTR-1 and GSTR-3B) and reconcile another (GSTR-2B) every month. So, if a company operates in 10 states, it must submit 20 forms monthly, amounting to 240 GST forms annually, according to Mumbai-based chartered accountant Kush Vora, partner at accounting firm SC Vora & Co who specialises in GST for MSMEs. In addition, two annual returns (GSTR-9 and GSTR-9C) must be filed by businesses exceeding a turnover of Rs 2 crore and Rs 5 crore, respectively.

New regulations are added every few months, making it harder for entrepreneurs to keep up. First came e-invoicing, which was made mandatory in August 2023 for businesses with a turnover above Rs 5 crore. Then, in October 2024, the government introduced the Invoice Management System on the GST portal, says Rajat Mohan, senior partner at Delhi-based tax consulting firm AMRG & Associates. "With changes happening every 6-8 months, most business owners no longer feel confident filing GST returns on their own. They're forced to rely on professionals just to stay compliant." For example, in 2023, the government issued notices to several MSMEs in Gujarat, demanding 18 per cent GST on the sale of leasehold industrial land with retrospective effect. This meant that any such land sold after July 2017—when GST was implemented—was now subject to the tax. There was no such provision under the previous VAT and Service Tax regimes.

Typically, when such significant amendments are introduced, the government ensures extensive communication through advertisements, circulars and newspapers. Quoting the finance ministry spokesperson, Shashank Priya, member-GST, Central Board of Indirect Taxes and Customs (CBIC), says the GST Council and its subordinate bodies actively engage with industry and trade associations to ensure that recent amendments and clarifications are effectively communicated to MSME stakeholders. However, in the Gujarat case, though the GST provision technically existed, it was not clearly communicated to stakeholders. The Gujarat Chamber of Commerce & Industry moved the state high court, finally securing a favourable judgment in January this year.

Priya, though, defends the multiple changes. GST, he says, is a newer tax system and, like any large-scale reform, is in a continuous process of fine-tuning. "As the government, businesses and tax professionals interact with the system, many new issues, inefficiencies, or unintended consequences come up. Rules are then amended/clarifications issued to fix these gaps," he adds.

CASES IN POINT

A few court rulings that lay bare the complex legal tangles of GST implementation

Dinesh Kumar Varma vs Sales Tax Officer, Class II AVATO/ Delhi High Court

THE CASE: Varma filed a case in December 2023 after receiving two orders in the same month—both demanding a tax liability of the same amount for the same period—from the same jurisdictional office

STATUS: In April 2024, the HC ordered both to be clubbed and re-adjudicated by one officer

Gujarat Chamber of Commerce & Industry vs Union of India/Gujarat HC

THE CASE: In 2023, the government sent notices to several MSMEs in Gujarat demanding 18% GST on the sale of leasehold industrial land with retrospective effect. They filed a case in July, stating that the sale was excluded from GST

STATUS: The court gave a favourable ruling in January 2025

Chief Commissioner of Central GST vs Safari Retreats/Supreme Court

THE CASE: The Input Tax Credit claim by Safari Retreats was blocked, stating that it was not admissible on construction of buildings. Safari Retreats filed the case first in the Orissa High Court in 2018, arguing that their purpose was to rent—a taxable service—and it should be eligible for ITC

STATUS: In October 2024, SC agreed with the company

Engineering Tools Corporation vs Assistant Commissioner (ST)/Madras HC

THE CASE: Filed in February 2024, because the buyer's ITC was rejected, citing the supplier's GST registration cancellation with retrospective effect

STATUS: In the same month, the court directed the authorities to reconsider the ITC claim



"The government should not be policing entrepreneurs. We need a system that helps improve productivity and clarity—not one that constantly looks for where we went wrong"

PRASHANT PATEL
Director, R.K. Synthetics, Ahmedabad, and ex-President, Federation of Indian Micro and Small & Medium Enterprises